

FIRST ABU DHABI BANK

Commercial Banking — Credit & Pricing Division

CREDIT PRICING POLICY

Corporate & Commercial Banking — Lending Products

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Owner	Head of Credit Pricing, Commercial Banking
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1. Purpose and Scope

This policy establishes the minimum pricing standards, approval authority requirements, and governance controls applicable to all credit facilities extended by First Abu Dhabi Bank (FAB) under its Corporate and Commercial Banking franchise. It applies to all relationship managers, credit officers, and product teams involved in the origination, structuring, or repricing of credit facilities.

This policy is designed to ensure that all credit pricing decisions:

- Recover FAB's fully loaded cost of funds, capital, and operational costs.
- Generate risk-adjusted returns commensurate with the credit risk assumed.
- Comply with applicable UAE Central Bank (CBUAE) regulations and FAB's own risk appetite.
- Are documented, approved at the appropriate authority level, and auditable.

SCOPE: This policy applies to all corporate term loans, revolving credit facilities, syndicated loans, trade finance facilities, and treasury credit products originated through FAB's Corporate and Commercial Banking division. Retail lending is governed by a separate policy (FAB-POL-PRICE-RETAIL-2024).

1.1 Definitions

Term	Definition
Floor Rate	The minimum all-in pricing rate for a credit facility, below which no transaction may be executed without Pricing Exception approval.
All-In Rate	The total annualised yield to FAB from a facility, including margin, upfront fees (annualised), commitment fees, and any other recurring fee income.
FTP (Funds Transfer Price)	The internal cost of funds allocated to each facility based on tenor, currency, and product type, as determined by FAB's Treasury function on a monthly basis.
RWA (Risk-Weighted Assets)	The regulatory capital measure calculated by applying Basel III risk weights to the facility exposure, taking into account the counterparty's internal credit rating.
Capital Cost	The annual cost of regulatory capital consumed by a facility, calculated as $RWA \times$ FAB's internal cost of equity hurdle rate.
NIM (Net Interest Margin)	The difference between the all-in facility rate and the applicable FTP rate, representing the gross spread earned by the business unit.
RAROC	Risk-Adjusted Return on Capital — the primary profitability metric used by FAB to evaluate credit transactions.
Relationship Value	An adjustment to pricing that recognises the full revenue contribution of a client relationship across all products and services with FAB.

2. Pricing Principles

All credit pricing at FAB is based on four fundamental principles that must be satisfied simultaneously for a transaction to be approved:

2.1 Cost Recovery

Every credit facility must, at a minimum, recover FAB's fully loaded cost of funds (FTP), allocated capital cost, operating cost allocation, and expected credit loss provision. A transaction priced below full cost recovery may only be approved under Section 6 (Pricing Exceptions) of this policy.

The minimum cost recovery calculation is:

$$\text{Minimum Rate} = \text{FTP Rate} + \text{Capital Cost (bps)} + \text{Operating Cost Allocation (bps)} + \text{Expected Credit Loss Provision (bps)}$$

2.2 Risk-Adjusted Profitability

Beyond cost recovery, credit facilities must generate a RAROC that meets or exceeds FAB's minimum acceptable return on equity (RoE) hurdle, as set by Group Finance and reviewed annually. The current RoE hurdle is 13.5% post-tax.

RAROC is calculated as:

$$\text{RAROC} = (\text{All-In Revenue} - \text{Expected Losses} - \text{Operating Costs}) / \text{Regulatory Capital}$$

IMPORTANT: Transactions with RAROC below the 13.5% hurdle may still be approved if they meet the Relationship Value criteria in Section 2.4 below, subject to appropriate approval authority.

2.3 Market Competitiveness

Pricing must reflect prevailing market conditions for comparable transactions. Relationship Managers are required to provide market evidence (peer bank indicative pricing, publicly available benchmarks, or Bloomberg comparable data) for all transactions above AED 25 million. The Credit Pricing Committee maintains a quarterly market pricing survey that serves as the primary benchmark for this requirement.

2.4 Relationship Value

FAB recognises that relationship profitability extends beyond the individual transaction. A relationship-adjusted pricing approach applies where a client demonstrates a material cross-sell contribution, measured as total annual revenue across all FAB products divided by total RWA. Relationship Value adjustments may reduce the required margin by up to 25 basis points from the standard floor, subject to:

- Documented cross-sell revenues exceeding AED 500,000 per annum across the relationship.
- Approval by the relevant credit authority (see Section 5).
- Annual review of continued cross-sell performance.

3. Minimum Pricing Floors by Product

The following tables set out the minimum all-in pricing floors applicable to each product category. These floors represent the absolute minimum below which no transaction may be executed without a formal Pricing Exception (Section 6). Floors are stated in basis points over the applicable FTP rate unless otherwise specified.

NOTE: FTP rates are published monthly by FAB Treasury and are available on the internal Treasury portal. All floor rates in this section are stated as SPREADS over FTP. The total all-in rate must not fall below FTP + the stated floor spread.

3.1 Corporate Term Loans

Table 3.1 sets out minimum pricing floors for standard corporate term loans, segmented by client internal credit rating and facility tenor.

Client Rating	Tenor ≤ 1 Year	Tenor 1–3 Years	Tenor 3–5 Years	Tenor > 5 Years	Notes
AAA / AA	65 bps	80 bps	100 bps	130 bps	Investment grade sovereign or quasi-sovereign
A	85 bps	105 bps	130 bps	165 bps	Strong investment grade corporate
BBB	115 bps	145 bps	180 bps	220 bps	Standard investment grade
BB	165 bps	210 bps	260 bps	320 bps	Sub-investment grade / leveraged
B	240 bps	300 bps	370 bps	450 bps	Speculative / requires senior credit approval
CCC and below	Not permitted without Group Credit Committee approval				See Section 6

EXAMPLE: A BBB-rated client requesting a 4-year AED term loan. FTP for 4-year AED = 4.85% (as at June 2024). Minimum floor spread = 180 bps. Minimum all-in rate = 4.85% + 1.80% = 6.65%.

3.2 Revolving Credit Facilities (RCFs)

Revolving credit facilities are subject to the pricing floors in Table 3.2. Commitment fees on undrawn portions are in addition to the drawn margin and are not included in the floor calculations below.

Client Rating	Drawn Margin Floor	Commitment Fee Floor	Facility Fee Floor	Tenure ≤ 3 Years	Tenure > 3 Years
AAA / AA	60 bps	20 bps	10 bps	Applies	Add 15 bps
A	80 bps	25 bps	12 bps	Applies	Add 20 bps
BBB	110 bps	30 bps	15 bps	Applies	Add 25 bps
BB	160 bps	40 bps	20 bps	Applies	Add 40 bps
B	220 bps	55 bps	25 bps	Applies	Add 60 bps

3.3 Syndicated Loans — FAB as Mandated Lead Arranger

Where FAB acts as Mandated Lead Arranger (MLA) or Bookrunner on a syndicated transaction, the following additional floors apply on top of the standard term loan floors in Table 3.1:

Fee Component	Minimum Floor	Notes
Arrangement Fee	30 bps of facility amount	Payable upfront by borrower
Underwriting Fee	15 bps of underwritten portion	On retained exposure
Participation Fee	10 bps	On sold-down portions
Agency Fee	USD 25,000 / AED 90,000 per annum	If FAB acts as Facility Agent

4. Funds Transfer Pricing (FTP) Framework

FAB operates a matched-maturity FTP framework under which each credit facility is assigned an internal cost of funds (FTP rate) corresponding to its contractual tenor and repricing frequency. FTP rates are set monthly by FAB Treasury and published internally by the 5th business day of each month.

4.1 FTP Rate Determination

The FTP rate for each facility is determined as follows:

- 1. Base Rate: The prevailing AED or relevant currency EIBOR (or applicable risk-free rate) for the matching tenor.
- 2. Liquidity Premium: An additional spread to reflect FAB's cost of term funding in excess of overnight rates, set quarterly by Treasury.
- 3. Tenor Premium: A further adjustment for facilities with tenors exceeding 3 years, reflecting FAB's increased balance sheet commitment.

Tenor Bucket	EIBOR Tenor	Liquidity Premium	Tenor Premium	Illustrative FTP (Jun 2024)
≤ 3 months	3-month	15 bps	0 bps	5.25%
3–12 months	6-month	20 bps	0 bps	5.40%
1–3 years	12-month	30 bps	10 bps	5.55%
3–5 years	12-month	35 bps	25 bps	5.85%
5–7 years	12-month	40 bps	40 bps	6.05%
> 7 years	12-month	50 bps	60 bps	6.35%

IMPORTANT: FTP rates are indicative only. Relationship Managers must obtain confirmed FTP rates from Treasury at the time of term sheet issuance. Historical FTP rates are available on the Treasury pricing portal.

5. Pricing Approval Authority Matrix

All credit pricing decisions must be approved at the appropriate level prior to issuance of a term sheet or credit sanction. The approval authority is determined by the combination of facility size, client credit rating, and the extent to which the proposed pricing deviates from the standard floor rates in Section 3.

5.1 Standard Pricing — Within Floor Rates

Facility Size	Client Rating	Minimum Approval Authority
Up to AED 25 million	All ratings	Relationship Manager + Credit Analyst
AED 25M – 100M	AAA to BBB	Senior RM + Team Head
AED 25M – 100M	BB and below	Segment Credit Head
AED 100M – 500M	AAA to BBB	Segment Credit Head
AED 100M – 500M	BB and below	Regional Credit Committee (RCC)
AED 500M – 1 billion	All ratings	Country Credit Committee (CCC)
Above AED 1 billion	All ratings	Group Credit Committee (GCC)
Any amount — Sovereign or GRE	All ratings	Group Credit Committee (GCC)

6. Pricing Exceptions

A Pricing Exception applies when a proposed transaction is priced below the standard floors set out in Section 3, or where the calculated RAROC falls below the 13.5% hurdle rate. All Pricing Exceptions must be formally documented and approved before any term sheet is issued.

6.1 Mandatory Documentation

A Pricing Exception request must include the following:

- 4. Full pricing model with all-in rate, RAROC calculation, and sensitivity analysis.
- 5. Written justification explaining the commercial rationale for the below-floor pricing.
- 6. Market evidence demonstrating that the proposed pricing is competitive.
- 7. Statement of relationship value, quantifying cross-sell revenues and total relationship RAROC.
- 8. Confirmation that the exception has been reviewed and endorsed by the Head of Credit Pricing.

6.2 Approval Authority for Pricing Exceptions

Exception Type	Max Deviation from Floor	Approval Required
Minor exception	Up to 15 bps below floor	Segment Credit Head
Standard exception	15–40 bps below floor	Country Credit Committee
Major exception	40–80 bps below floor	Group Credit Committee
Strategic exception	Above 80 bps or RAROC < 8%	Chief Commercial Officer + CRO

WARNING: Any transaction that proceeds without the required Pricing Exception approval is a policy breach. Relationship Managers who execute transactions below floor without approval are subject to disciplinary action under FAB's HR Policy (HR-POL-DISC-001).

7. Concentration and Exposure Limits

7.1 Single Obligor Limits

The following single-obligor credit concentration limits apply to the aggregation of all credit facilities across all FAB entities for a single counterparty or group of connected counterparties:

Counterparty Type	Maximum Exposure	Notes
Non-bank corporate (Investment Grade)	AED 3.5 billion	Per group of connected counterparties
Non-bank corporate (Sub-Investment Grade)	AED 1.2 billion	Per group; requires GCC approval above AED 800M
Financial Institution (Investment Grade)	AED 2.5 billion	Interbank and trade lines combined
Government Entity (GRE)	AED 5.0 billion	UAE-domiciled GREs only; foreign GREs: AED 2.0B
Sovereign	Country limit as approved by Board Risk Committee	Separate sovereign risk framework applies
Real Estate Sector (combined)	25% of total corporate portfolio	Quarterly monitoring by Risk Management

8. Policy Administration and Review

This policy is owned by the Head of Credit Pricing, Commercial Banking and is reviewed annually or on a material change in market conditions, regulatory requirements, or FAB's risk appetite.

Questions regarding the interpretation or application of this policy should be directed to the Credit Pricing team (creditpricing@fab.ae).

DOCUMENT CONTROL: Printed copies of this policy are uncontrolled. The master version is maintained on FAB's internal document management system (PolicyHub). Version history is maintained by the Credit Pricing team.